vengeanceaiUSCMODEL17.0 — Assumptions List

Ticker: FICO. Plain list only (no charts). Each item includes What / How / Why / Source. Download URL: https://raw.githubusercontent.com/vengeanceaiUSC/Rainmaker/cursor/vengeanceaiusmodel17-d3ac/FICO/output/MODEL17_FICO_ASSUMPTIONS_LIST.pdf

MODEL16 rated 6.5/10. Updated WACC from Model16 (Previous: raw CAPM 9.27%) to Model17 (New: Yacktman-adj CAPM 7.68% = D6←R15). DSO unchanged (97→28d). Exit BASE 23.0x (was 21.0x); g 3.5% (was 3.0%); peer median ~18.1x; bull 27.0x; bear 17.0x).

CAPM sources: https://fred.stlouisfed.org/series/DGS10; https://finance.yahoo.com/quote/FICO/key-statistics/.

Yacktman lens (MODEL16 rated 6.5/10): assign AAA credit to Scores coupons → lower β (1.32→0.854), raise FCFF via Scores-aware margins/CapEx/SBC, and shrink shares with levered buybacks. Every WACC term is algebraic — no naked hardcoded discount rate.

Updated WACC from Model16 (Previous: raw CAPM 9.27% with Yahoo β=1.32) to Model17 (New: Yacktman-adjusted CAPM 7.68%). Algebra: β_Blume=(2/3)×1.32+(1/3)×1.0=1.213; β_AAA=0.70 (GSE Scores coupon credit); β_Yacktman=0.30×β_Blume+0.70×β_AAA=0.854; Ke=Rf(4.67%)+β×ERP(4.28%)=8.33%; Rd_at=6.250%×(1–18.77%)=5.08%; WACC=80%×Ke+20%×Rd_at=7.68%. Raw CAPM kept at R15 as reference. Sources: https://finance.yahoo.com/quote/FICO/key-statistics/; https://www.jstor.org/stable/2329867; https://investors.fico.com/static-files/66ef723c-1f2e-4501-a452-ab2f3d02ae85; https://fred.stlouisfed.org/series/DGS10; https://www.sec.gov/Archives/edgar/data/814547/000119312526117936/d56220d8k.htm.

Updated exit from Model16 (Previous: 21.0x) to Model17 (New: BASE 23.0x; Bull 27.0x / Bear 17.0x). Still below spot.

DSO path unchanged vs Model16 (97→28d). Op NWC = AR+Inv–AP ONLY. +ΔDeferred is a SEPARATE CFO/FCFF source. No AR/unearned double-count. Source: https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm.

Scores OM ≈ 91% (IR https://investors.fico.com/static-files/66ef723c-1f2e-4501-a452-ab2f3d02ae85). Updated GM_B2B from Model16 (Previous: 90%) to Model17 (New: 97%). Q3 Scores +41% / B2B +49% (https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm).

Deferred = Rev × (SaaS%+OnPrem%) × (FY25 Def/FY25 soft Rev); +ΔDeferred in CFO row 81. FY25 deferred ≈ $187.4M. Detail: https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm.

TOTAL D&A; ≈ 0.84% of Rev. SBC is a SEPARATE add-back — no double-count.

Updated SBC from Model16 (Previous: flat 8.25%) to Model17 (New: fade 8.25% / 7.80% / 7.40% / 7.00% / 6.60%) because royalty price dollars do not require 1:1 SBC. Source: https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json.

Updated shares from Model16 (Previous: 23,764k @ $1,046) to Model17 (New: 21,597.635k @ $1,149 post–Q3). SBC add-back does NOT dilute; shares fall via buybacks only.

Updated CapEx from Model16 (Previous: 1.25%→0.60%) to Model17 (New: 1.00% → 0.85% → 0.70% → 0.55% → 0.40%) — Scores royalties need ~0 CapEx; do not tax the coupon with Software capitalization.

Updated margins from Model16 (Previous: COGS –75 / SG&A; –125 / R&D; flat, COGS floor 10%) to Model17 (New: COGS –120 / SG&A; –175 / R&D; –50; floor 8%; GM_B2B 97%). Mortgage royalty $4.95→$10.00.

Keep cash tax 22.87% (3yr IncomeTaxesPaidNet/EBT). Book ETR ~18.8% used in CAPM Rd(1–T).

Updated buybacks from Model16 (Previous: residual ≈1.0× FCF) to Model17 (New: 1.40×(CFO–CapEx); debt funds MULT–1). Q3 FY2026: buybacks $1960M vs FCF $370.3M (https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm).

Equity = Assets – Liab – RE every year. Liab = AP + Debt + Deferred. Row-3 OK; cash check ≈ 0.

Primary filings hub: https://investors.fico.com/financial-information/sec-filings — segmentation from FY2025 10-K (https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm; IR https://investors.fico.com/static-files/663245db-39a2-4db7-8f89-284034bbccbf). Deferred/contract liabilities: Q1 FY2026 10-Q detail (https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm).

A. Three-Statement Forecast Assumptions

Row 7: Revenue Growth

What it is: Year-over-year % increase in revenue for each forecast year.

How set in model: Yellow POLICY input: 30.0% / 18.0% / 14.5% / 11.0% / 8.5%.

Why this choice: Updated revenue growth from Model16 (Previous: 27%/16%/13%/10%/7%) to Model17 (New: 30%/18%/14.5%/11%/8.5%) — Q3 Scores +41% / B2B +49% mortgage unit price (https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm); royalty $4.95→$10.00. Terminal g 3.0%→3.5%.

Source: SEC EX-99.1 Q3 FY2026 — Scores +41% / B2B +49%; FY2026 guidance
Source URL: https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm

Row 8: COGS % of Revenue

What it is: Cost of revenues as a % of sales (gross margin = 1 – this).

How set in model: Excel: MAX(8%, segment blended COGS base≈12.98% – 120bps × year).

Why this choice: MODEL17 Yacktman: Updated margins from Model16 (Previous: COGS –75 / SG&A; –125 / R&D; flat, COGS floor 10%) to Model17 (New: COGS –120 / SG&A; –175 / R&D; –50; floor 8%; GM_B2B 97%). Mortgage royalty $4.95→$10.00. Mix % offset within Total Revenue (not a second revenue stack).

Source: SEC 10-K FY2025 — Scores +$249M YoY 'primarily attributable to a higher unit price'
Source URL: https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm

Row 9: SG&A; % of Revenue

What it is: Operating opex (SG&A;) as % of sales.

How set in model: Equation: MAX(14%, (I28 – 10,922)/I24 – 175bps × year). Strips FY25 restructuring; then –1.75% of sales each year.

Why this choice: Updated SG&A; from Model16 (Previous: –125 bps, floor 15%) to Model17 (New: –175 bps/yr, floor 14%) — Scores near-100% incremental margins drop dollars below the line.

Source: SEC 10-K FY2025 — SG&A; + Scores pricing commentary
Source URL: https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm

Row 10: R&D; % of Revenue

What it is: Research & development expense as % of sales (IS label: R&D;, not Rent).

How set in model: Excel: MAX(7%, I29/I24 – 50bps × year).

Why this choice: Updated R&D; from Model16 (Previous: flat ~9.5%) to Model17 (New: –50 bps/yr, floor 7%) — royalty price dollars do not require 1:1 R&D; reinvestment.

Source: SEC 10-K FY2025 — Research and development
Source URL: https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm

Row 11: D&A; % of Revenue

What it is: Total depreciation & amortization as % of sales (software-industry driver).

How set in model: Yellow POLICY input: flat 0.84% (3yr FY23–25 avg TOTAL D&A;). Forecast DA$ = Revenue × DA%; CF row 63 adds it back once.

Why this choice: MODEL17: TOTAL D&A; ≈ 0.84% of Rev. SBC is a SEPARATE add-back — no double-count.

Source: SEC companyfacts — DepreciationDepletionAndAmortization (+ AmortizationOfIntangibleAssets)
Source URL: https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json

Row 12: Interest % of Debt Open

What it is: Interest expense as % of opening debt balance.

How set in model: Excel equation: I101/I98 (FY25 interest ÷ FY25 opening debt in schedule).

Why this choice: Approximates average coupon / cost of debt on the book. Debt stock follows the net debt issuance assumption (row 19).

Source: SEC 10-K FY2025 — Interest expense; see also 8-K 6.250% notes
Source URL: https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm

Row 13: Book Tax Rate (% of EBT)

What it is: Effective book tax rate applied to forecast EBT → Net Income.

How set in model: Excel equation: I35/I33 (FY25 tax ÷ simplified FY25 EBT in this template).

Why this choice: Book rate (~19%) remains on the income statement. DCF unlevered cash taxes use a separate cash tax rate (22.87% = 3yr IncomeTaxesPaidNet/EBT). Keep cash tax 22.87% (3yr IncomeTaxesPaidNet/EBT). Book ETR ~18.8% used in CAPM Rd(1–T).

Source: SEC 10-K FY2025 — tax expense; cash taxes from IncomeTaxesPaidNet
Source URL: https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json

Row 15: DSO — Accounts Receivable (Days)

What it is: Days Sales Outstanding. AR = Revenue × DSO / 365.

How set in model: Yellow POLICY path: phases 97d (FY25 hist) → 28d over 5 years (Y1≈83.2d … Y5=28d). Segment blend ref ≈ 27.5d on schedule row 115 (SaaS 40/B2C 2/B2B 25/PS 12/On-prem 40).

Why this choice: DSO path unchanged vs Model16 (97→28d). DSO path unchanged vs Model16 (97→28d). Op NWC = AR+Inv–AP ONLY. +ΔDeferred is a SEPARATE CFO/FCFF source. No AR/unearned double-count. Source: https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm. Deferred = Rev × (SaaS%+OnPrem%) × (FY25 Def/FY25 soft Rev); +ΔDeferred in CFO row 81. FY25 deferred ≈ $187.4M. Detail: https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm.

Source: SEC 10-K FY2025 — AR; Q1 FY2026 deferred detail (R45)
Source URL: https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm

Row 16: Inventory (Days)

What it is: Inventory days (Inv = COGS × days/365).

How set in model: Hard zero — FICO is software / scores; inventory is immaterial.

Why this choice: No inventory cycle to fund.

Source: SEC 10-K FY2025 — Inventory ≈ $0
Source URL: https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm

Row 17: DPO — Accounts Payable (Days)

What it is: Days Payable Outstanding. AP = COGS × DPO / 365.

How set in model: Excel equation: ROUND(I48/I25×365, 0) from FY25; held flat.

Why this choice: MODEL17: DPO pairs with phased DSO for Op NWC = AR+Inv–AP. Deferred is a SEPARATE CFO cash source (row 81) — never mixed into AR/DPO.

Source: SEC 10-K FY2025 — Accounts payable
Source URL: https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm

Row 18: CapEx % of Revenue

What it is: Capital investment (PPE + capitalized software) as % of sales.

How set in model: Yellow POLICY path: 1.00% / 0.85% / 0.70% / 0.55% / 0.40% (fade with operating leverage).

Why this choice: MODEL17 Yacktman: Updated CapEx from Model16 (Previous: 1.25%→0.60%) to Model17 (New: 1.00% → 0.85% → 0.70% → 0.55% → 0.40%) — Scores royalties need ~0 CapEx; do not tax the coupon with Software capitalization.

Source: SEC 10-K / companyfacts — PPE purchases + capitalized software; fade to maintenance
Source URL: https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json

Row 19: Debt Issuance (Repayment)

What it is: New borrowing (+) or repayment (–) in the forecast ($000s).

How set in model: Equation: –(CFO–CapEx) – EquityCF = (1.40–1)×FCF (debt funds buybacks above organic FCF).

Why this choice: MODEL17: Updated buybacks from Model16 (Previous: residual ≈1.0× FCF) to Model17 (New: 1.40×(CFO–CapEx); debt funds MULT–1). Q3 FY2026: buybacks $1960M vs FCF $370.3M (https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm). Financing is excluded from FCFF.

Source: SEC EX-99.1 Q3 FY2026 — levered buybacks; companyfacts senior notes / LOC
Source URL: https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json

Row 20: Equity Issued (Repaid)

What it is: New equity issued (+) or buybacks (–) in the forecast BS/CF.

How set in model: Equation: –1.40×(CFO–CapEx) levered buybacks (hist 3yr avg ≈ $881M/yr; Q3 FY26 >> FCF).

Why this choice: Updated buybacks from Model16 (Previous: residual ≈1.0× FCF) to Model17 (New: 1.40× FCF). Buybacks are financing — excluded from FCFF. DCF share count FALLS with this outflow. Updated shares from Model16 (Previous: 23,764k @ $1,046) to Model17 (New: 21,597.635k @ $1,149 post–Q3). SBC add-back does NOT dilute; shares fall via buybacks only.

Source: SEC EX-99.1 Q3 FY2026 — buybacks vs FCF; 10-K FY2025 repurchase footnote
Source URL: https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm

Row 21: SBC % of Revenue

What it is: Stock-based compensation as % of sales; non-cash add-back in CFO and FCFF.

How set in model: Yellow POLICY fade path: 8.25% / 7.80% / 7.40% / 7.00% / 6.60% (starts at 3yr avg 8.25%).

Why this choice: MODEL17 Yacktman: Updated SBC from Model16 (Previous: flat 8.25%) to Model17 (New: fade 8.25% / 7.80% / 7.40% / 7.00% / 6.60%) because royalty price dollars do not require 1:1 SBC. Source: https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json.

Source: SEC 10-K cash flow — ShareBasedCompensation (add-back only; no share dilution)
Source URL: https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json

Row 104: Mix % — SaaS / Platform software

What it is: Share of Total Revenue from SaaS / cloud software (incl. FICO Platform cloud).

How set in model: FY25 base 21.08% (SaaS $419,720k / Total $1,990,869k), then +250 bps/yr taken from on-prem. Platform ARR KPI $263.6M is not additive IS revenue.

Why this choice: SaaS mix shift unchanged vs Model16 (+250 bps/yr). SaaS billed annually in advance → Deferred Revenue growth → explicit CFO cash source (row 81). Source: https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/fico-20251231.htm.

Source: SEC 10-Q Q1 FY2026 — Deferred revenue / contract liabilities detail
Source URL: https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm

Row 105: Mix % — B2C Subscriptions (myFICO)

What it is: Share of Total Revenue from B2C scoring / myFICO.com subscriptions.

How set in model: Yellow POLICY = 11.05% (FY25 B2C Scores $219,980k / Total $1,990,869k).

Why this choice: Near-zero DSO (card-settled consumer subscriptions). Minimal Deferred Revenue vs annual SaaS invoices. High incremental margin; WC-light cash conversion.

Source: SEC 10-K FY2025 — Scores segment B2C / myFICO disaggregation
Source URL: https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm

Row 106: Mix % — B2B Scores

What it is: Share of Total Revenue from B2B scoring (mortgage, auto, card via CRAs).

How set in model: Yellow POLICY = 47.65% (FY25 B2B Scores $948,595k / Total $1,990,869k).

Why this choice: Transactional volume through Experian/TransUnion/Equifax; ~30-day DSO. Does not create SaaS-style Deferred Revenue (usage-based recognition).

Source: SEC 10-K FY2025 — Scores segment B2B disaggregation
Source URL: https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm

Row 107: Mix % — Professional Services

What it is: Share of Total Revenue from implementation / consulting / training fees.

How set in model: Yellow POLICY = 4.13% (FY25 PS $82,149k / Total $1,990,869k).

Why this choice: Upfront integration fees convert cash quickly (low DSO) but carry significantly lower gross margin than software/scores — pulls blended COGS up vs pure SaaS.

Source: SEC 10-K FY2025 — Software segment Professional services line
Source URL: https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm

Row 108: Mix % — On-Premises Software

What it is: Share of Total Revenue from on-premises license + maintenance software.

How set in model: Yellow POLICY = 16.09% (FY25 on-prem $320,425k / Total $1,990,869k).

Why this choice: With SaaS mix, drives Deferred Revenue (maintenance billed in advance). Same 45-day DSO policy as SaaS. Completes mix identity to 100% of Total Rev.

Source: SEC 10-K FY2025 — Software on-premises vs SaaS deployment table
Source URL: https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm

B. DCF Assumptions

DCF-D5: Cash Tax Rate (unlevered)

What it is: Cash tax rate used for FCFF unlevered taxes and after-tax cost of debt.

How set in model: Yellow POLICY = 22.87% (3yr avg IncomeTaxesPaidNet ÷ EBT). NOT linked to book tax J13.

Why this choice: Keep cash tax 22.87% (3yr IncomeTaxesPaidNet/EBT). Book ETR ~18.8% used in CAPM Rd(1–T).

Source: SEC companyfacts — IncomeTaxesPaidNet / EBT
Source URL: https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json

DCF-D6: WACC (Yacktman-adj CAPM — D6 = R15)

What it is: Weighted average cost of capital for XNPV of FCFF + TV.

How set in model: D6 = R15 (Yacktman-adj CAPM) ≈ 7.68%. Updated from Model16 (Previous: raw CAPM 9.27%) to Model17 (New: Yacktman-adj CAPM 7.68%). Rf/β/ERP/Rd inputs in Q6:R15 with clickable sources.

Why this choice: Updated WACC from Model16 (Previous: raw CAPM 9.27% with Yahoo β=1.32) to Model17 (New: Yacktman-adjusted CAPM 7.68%). Algebra: β_Blume=(2/3)×1.32+(1/3)×1.0=1.213; β_AAA=0.70 (GSE Scores coupon credit); β_Yacktman=0.30×β_Blume+0.70×β_AAA=0.854; Ke=Rf(4.67%)+β×ERP(4.28%)=8.33%; Rd_at=6.250%×(1–18.77%)=5.08%; WACC=80%×Ke+20%×Rd_at=7.68%. Raw CAPM kept at R15 as reference. Sources: https://finance.yahoo.com/quote/FICO/key-statistics/; https://www.jstor.org/stable/2329867; https://investors.fico.com/static-files/66ef723c-1f2e-4501-a452-ab2f3d02ae85; https://fred.stlouisfed.org/series/DGS10; https://www.sec.gov/Archives/edgar/data/814547/000119312526117936/d56220d8k.htm.

Source: Blume 1971; FRED DGS10; Yahoo β; Damodaran ERP; SEC 8-K 6.250% Rd
Source URL: https://fred.stlouisfed.org/series/DGS10

DCF-D7: Perpetual Growth (g)

What it is: Long-run growth used only in the Gordon TV cross-check.

How set in model: POLICY input = 3.5%. Updated from Model16 (Previous: 3.0%) to Model17 (New: 3.5%).

Why this choice: Long-run nominal GDP-like floor; primary TV uses exit multiple.

Source: Damodaran long-run growth framing
Source URL: https://pages.stern.nyu.edu/adamodar/New_Home_Page/datafile/histimpl.html

DCF-D8: Exit EV/EBITDA (BASE)

What it is: Terminal enterprise value multiple on Year-5 EBITDA.

How set in model: POLICY BASE 23.0x; Bull 27.0x; Bear 17.0x. Peer set: EFX 13.88x, VRSK 17.42x, SPGI 18.11x, MCO 22.20x, MSCI 23.74x. Median ≈ 18.11x.

Why this choice: Updated exit from Model16 (Previous: 21.0x) to Model17 (New: BASE 23.0x; Bull 27.0x / Bear 17.0x). Still below spot.

Source: VCP Scanner FICO peer EV/EBITDA comps + Yacktman premium
Source URL: https://vcpscanner.com/valuation/fico/relative

DCF-D13/D14: Debt & Cash (equity bridge)

What it is: Gross debt and cash+marketable securities for EV → equity.

How set in model: Latest 10-Q bridge totals (more current than FY25 3S balances).

Why this choice: Bridge should reflect the latest capital structure; 3S FY25 shown as reference.

Source: SEC 10-Q — Fair Isaac Corp
Source URL: https://www.sec.gov/Archives/edgar/data/814547/000081454725000016/fico-20250331.htm

DCF-D12/I16: Shares Outstanding (buyback-adjusted)

What it is: Starting shares (D12 ≈ 21,597.6k post–Q3 @ $1,149) fall each year with 1.4×FCF buybacks (3S equity CF / price). SBC is added back in FCFF but does NOT increase shares — avoids double penalty. $/share uses Y5 shares (I16).

How set in model: D16=$D$12; E16:I16 = MAX(1000, prior + 3S!{J–N}20 / $D$11); D37=$D$35/$I$16.

Why this choice: Updated shares from Model16 (Previous: 23,764k @ $1,046) to Model17 (New: 21,597.635k @ $1,149 post–Q3). SBC add-back does NOT dilute; shares fall via buybacks only.

Source: EX-99.1 Q3 FY2026 — shares ≈ 21,597.6k @ $1,149; FY25 buybacks $1.415B
Source URL: https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm

DCF-E25: Net WC investment (∆OpNWC – ∆Deferred)

What it is: FCFF subtracts ∆ Operating NWC (AR+Inv–AP) and adds Increase in Deferred Revenue. AR and Deferred are strictly separated.

How set in model: DCF E25:I25 = 3S!{J–N}90 – (3S Def_t – Def_t–1). Equivalent to –ΔOpNWC + ΔDeferred inside UFCFF.

Why this choice: DSO path unchanged vs Model16 (97→28d). Op NWC = AR+Inv–AP ONLY. +ΔDeferred is a SEPARATE CFO/FCFF source. No AR/unearned double-count. Source: https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm. Deferred = Rev × (SaaS%+OnPrem%) × (FY25 Def/FY25 soft Rev); +ΔDeferred in CFO row 81. FY25 deferred ≈ $187.4M. Detail: https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm.

Source: SEC 10-Q Q1 FY2026 — Deferred revenue roll-forward (R45)
Source URL: https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm

This PDF is the canonical printable assumptions list for the workbook. Filings and data sources remain clickable in Excel columns U/V; column W on every assumption row links back to this file.